Protecting the family, funding retirement, and fixing the loan

A 2026 plan for B LLC at $600,000 of revenue

Two structures compared, built from the 2025 federal and California returns

Where things stand after 2025

Revenue 2025
$289,584
up 64%, profit down 28%

Ordinary income (K-1)
$69,133
24% of revenue, was 77% in 2023

Personal income (AGI)
$126,792
single filer in 2025

Federal income tax paid
$46
credits erased an $8,655 bill

Company debt
$171,549
Fundbox, Headway, vehicles, cards at about 21%

Loan to shareholder
$125,100
no note, no interest, no payments

What the returns show

- Revenue grew $113K but deductions grew $121K. Travel, meals and vehicles alone were $90K, 31% of revenue.
- Interest went from $734 to $30,941 after a Fundbox advance and a Headway loan.
- Officer salary was $13,700 against $52K of distributions and $37K of new loans to the owner.
- No health insurance, no life insurance, no retirement plan anywhere on either return.

What 2026 brings

- Revenue target $600,000. With the same cost structure the K-1 is about $335K.
- Married filing jointly for the first time, which widens the brackets.
- Doing nothing: all taxes about $48,860, marginal rate 24% federal plus 9.3% California, and every risk below stays open.
- Two credit carryforwards worth $32,928 are available once, in 2026.

Four risks the family is carrying today

1. The $125,100 shareholder loan

No note, no interest, no repayments, no collateral. The company has $7,505 of equity; without this receivable it is $125K underwater. If the IRS treats it as a distribution the owner owes capital gain tax on $117,595; if as wages, payroll tax on all of it. **Exposure: $28K to $35K plus penalties.** Lenders see it too.

2. No health insurance

A family with no coverage carries unlimited medical risk and gets no deduction. Coverage bought through the company is fully deductible and, in the right structure, carries no payroll tax.

3. No life protection

The household depends on one person's earnings from three businesses, with $171K of company debt and a new spouse. There is no death benefit in place. A $1.5M policy on a healthy 31-year-old is inexpensive relative to the income it replaces.

4. No retirement savings

Nothing has been set aside. At $600K of revenue the business can fund $38K to $48K a year in SEP-IRAs plus $15K in Roth IRAs, all of it tax-deferred or tax-free, without changing how the business runs.

The plan below addresses all four. Both structures end 2026 with the family insured, retirement funded, the loan on a repayment path, and the company paying down its 21% debt.

The loan: how it reduced tax, and what it costs if challenged

If the $36,870 taken in 2025 had been	Tax result	Cash cost
Salary	payroll tax 15.3% plus California; federal absorbed by credit	≈ $8,500
Distribution	exceeds $7,505 basis, capital gain at 15%; California	≈ $2,600
Loan (what was done)	**nothing reported, nothing paid**	**$0**

The company also deducted $30,941 of interest it paid to Fundbox, Headway, the vehicle lenders and card issuers, while charging the owner nothing. Up to about $12K of that deduction is exposed because borrowed money funded the owner's loan.

If the IRS recharacterizes the full $125,100	Cost
As a distribution: $117,595 of capital gain	≈ $28K to $35K plus 20% penalty
As wages	≈ $19K payroll tax plus income tax plus penalties
Loan respected but below market (§7872)	≈ $5K a year of phantom income

What makes a loan a loan

- A signed note
- Interest at or above the federal rate (about 4%)
- A repayment schedule that is actually followed
- Collateral
- Consistent treatment on the books

None of these is visible in the 2025 return. Every year the balance grows without payments, the case for calling it a loan gets weaker.

> Both plans convert this into a documented, interest-bearing note that is repaid, and send the repayments to the company's most expensive debt.

$600,000 of revenue with no changes (married, 2026)

K-1 to the owner

$335,453

profit pool $350,201 less $13,700 salary

All taxes

$48,860

federal $16,018, California $23,316, S-corp $4,676

Spendable

$353,036

but nothing protected or saved

Why the tax bill is manageable even without changes

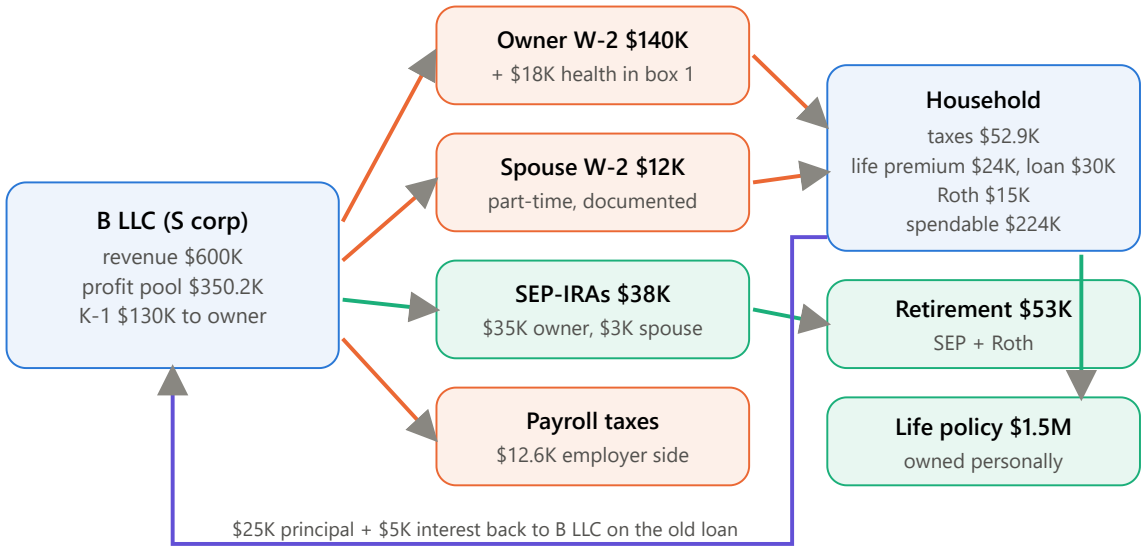
- Joint brackets: taxable income of $264,481 lands in the 24% bracket, not 35%.
- The QBI deduction on the K-1 is $66,120 because joint income is under the $403,500 threshold.
- The energy credit and general business credit carryforwards absorb $32,928, but only once.
- From 2027 the same income costs about $33K more federal tax because the credits are gone.

What this leaves open

- Loan: still $125,100 and growing.
- Health: no coverage, no deduction.
- Life: no death benefit.
- Retirement: $0.
- Reasonable compensation: $13,700 of salary against $335K of profit is the second thing an examiner looks at after the loan.

The spendable figure is the whole $401,896 pool less taxes. It is the number the other scenarios are measured against, and it is not a safe number to keep.

Scenario 1: W-2 wages, SEP-IRA, health through the S corp, personal life policy



How it works

- Owner $140,000 and spouse $12,000 in W-2 wages. The S corp contributes 25% of both to SEP-IRAs ($38,000) and pays the $18,000 family health premium, both deductible.
- Life insurance is bought personally: an S corp cannot fund a policy for its owner on a tax-favored basis. $24,000 a year after tax for about $1.5M of coverage.
- The old loan goes on a 4% note and is repaid $25,000 a year from salary; B LLC uses the cash to pay down Fundbox and Headway.
- Backdoor Roth IRAs, $7,500 each, from personal cash.

Simple, one entity, every risk addressed. The cost is that protection and the loan are paid with after-tax dollars.

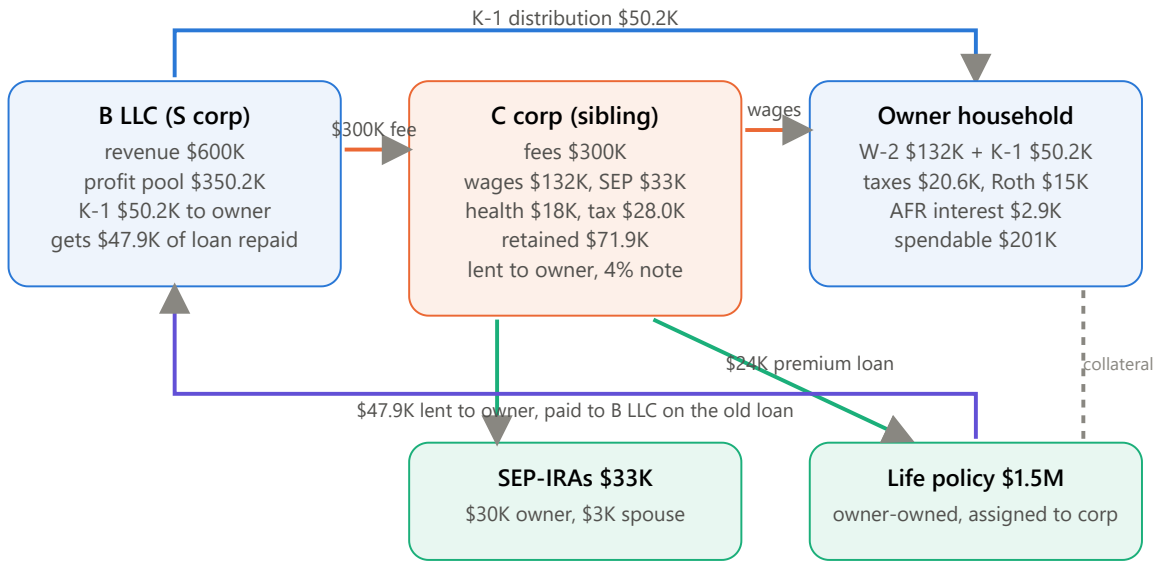
Scenario 1 at three owner salary levels

	Baseline no changes	Owner $180K	Owner $140K	Owner $100K
Ordinary income to K-1	$335,453	$76,513	$129,573	$182,633
Adjusted gross income	$400,848	$320,208	$333,268	$346,328
Federal tax after credits	$16,018	$6,996	$7,292	$7,588
California tax	$23,316	$15,817	$17,031	$18,246
Payroll taxes, both halves	$4,850	$33,130	$27,010	$20,890
All taxes	**$48,860**	**$56,743**	**$52,921**	**$49,108**
Change vs baseline	–	$7,883	$4,061	$248
Retirement (SEP + Roth)	$0	$63,000	$53,000	$43,000
Health and life premiums	$0	$42,000	$42,000	$42,000
Old loan repaid plus interest	$0	$30,004	$30,004	$30,004
Spendable	**$353,036**	**$210,149**	**$223,971**	**$237,784**
Death benefit in force	none	$1.5M	$1.5M	$1.5M

Reading it

- Taxes rise only $4,061 at $140K. Payroll tax on the wages is offset by the SEP and health deductions.
- Spendable drops $129,065, but $53,000 of that is retirement, $42,000 is insurance and $30,004 is loan repayment. Those are uses of cash, not costs of the structure.
- Higher salary buys more SEP: $180K adds $10,000 of SEP for $3,822 more tax. $100K does the reverse.
- $140K is the recommended middle: solid reasonable-compensation position, $53K of retirement, room to carry the loan.

Scenario 2: a sibling C corporation funds protection, retirement and the loan payoff



At death the policy repays the corporation; the family keeps the rest tax free.

How it works

- The owner holds B LLC and a new C corp side by side (a C corp cannot own an S corp). B LLC pays the C corp $300,000 a year for management, sales and admin services under a written agreement.
- The C corp pays the owner $120,000 and the spouse $12,000, contributes $33,000 to SEP-IRAs, and provides the $18,000 health plan as a tax-free fringe benefit.
- After 28% corporate tax it keeps $71,946. It lends $24,000 to the owner each year for the life policy (split-dollar, collateral assignment) and the rest to repay B LLC; the old loan is gone in year 3.
- B LLC uses the repayments to retire its 21% debt, raising profit from year 2 on.

Protection and the loan payoff are funded with corporate dollars taxed at 28%, not personal dollars taxed at 33%. Money kept inside builds toward expansion and, after five years, possible QSBS treatment.

Scenario 2 in numbers

C corporation, year 1

Fees from B LLC	$300,000
Wages, owner and spouse	−$132,000
Payroll taxes	−$11,098
SEP-IRAs (25%)	−$33,000
Health (tax-free fringe)	−$18,000
Overhead	−$6,000
Taxable income	**$99,902**
California 8.84% + federal 21%	−$27,956
Retained	**$71,946**
Lent for life premium	$24,000
Lent to repay B LLC	$47,946

Personal return (MFJ)

W-2 wages	$132,000
K-1 from B LLC	$50,201
Other income	$51,695
AGI	**$233,896**
Itemized deductions	−$54,720
QBI deduction	−$25,310
Taxable income	**$153,866**
Federal tax after credits	$0
California tax	$7,790
Employee payroll tax	$12,852
AFR interest to the C corp	$2,878

Five-year loan plan

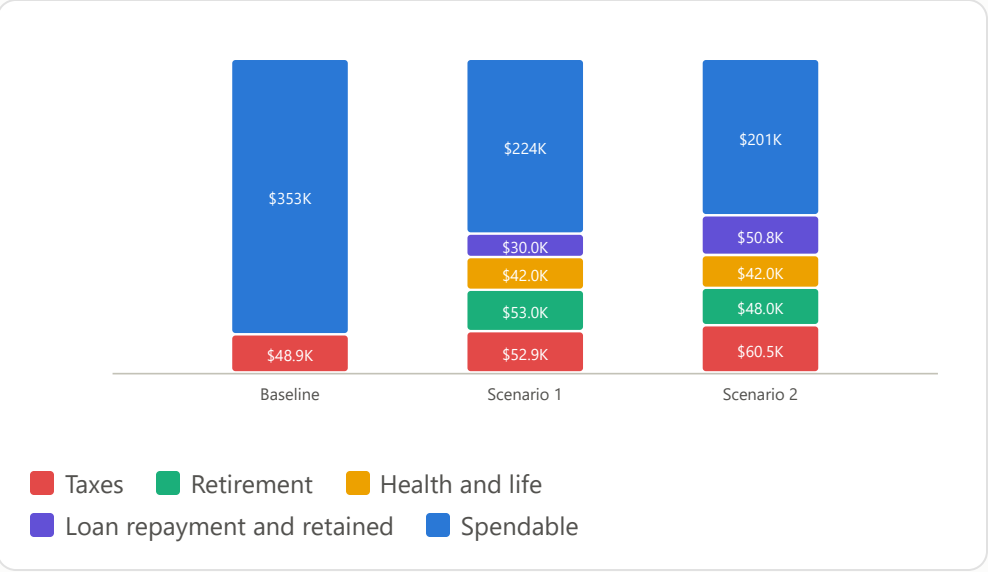
Year	Premium	Repay B LLC	Old loan left
2026	$24,000	$47,946	$77,154
2027	$24,000	$47,946	$29,208
2028	$24,000	$29,208	$0
2029	$24,000	$0	$0
2030	$24,000	$0	$0

From 2028 the surplus ($18,737 then $47,946 a year) becomes the expansion reserve. The owner ends 2028 owing the C corp $197,100 on a documented 4% note, secured by the policy.

All taxes $60,496 · retirement $48,000 · $1.5M protection · spendable $200,576

Side by side: taxes, protection, retirement, spendable

	Baseline	Scenario 1 ($140K)	Scenario 2 (C corp)
All taxes	**$48,860**	**$52,921**	**$60,496**
Change vs baseline	–	$4,061	$11,636
Retirement funded (SEP + Roth)	$0	$53,000	$48,000
Health insurance	none	family, pre-tax	family, tax-free fringe
Life insurance death benefit	none	$1.5M, paid after tax	$1.5M, premium lent by C corp
Old loan after year 1	$125,100, undocumented	$100,100 on a note	$77,154 on a note
Old loan cleared	never	year 5	year 3
Company debt at 21% paid down	$0	$25,000 / yr	$47,946 / yr
Money building inside a corporation	$0	$0	$71,946 / yr
Spendable	**$353,036**	**$223,971**	**$200,576**
Entities, returns, payroll	1	1	2



Same $401,896 pool in every column. The baseline's spendable figure is larger only because nothing is protected, saved or repaid.

What the life insurance does for the family

Protection today

- **$1.5M death benefit** replaces roughly 10 years of the household's current spendable income if the owner dies.
- It clears the company's $171K of debt (the owner has almost certainly guaranteed the Fundbox and Headway balances) and the documented loans, so the spouse does not inherit a leveraged business and a note.
- Income-tax free to the beneficiary under both scenarios.
- Underwriting at 31 and in good health locks in the lowest lifetime cost; waiting makes every year more expensive and risks insurability.

Cash value over time (permanent policy)

- Premiums of $24,000 a year build cash value that grows tax deferred. Early years are thin (cost of insurance and commissions); by year 10 cash value typically approaches cumulative premiums.
- Policy loans against the cash value are tax free, a second source of retirement or emergency cash.
- In Scenario 2 the corporation holds a collateral assignment: at death it is repaid first, the family receives the balance. In Scenario 1 the family receives all of it, but premiums came from after-tax income.
- A $1.5M 20-year term policy costs under $1,000 a year and can be put in force now while the permanent policy is designed. Protection should not wait for the structure.

Scenario 1: family owns the policy outright. Cost $24,000 a year out of take-home, roughly $36,000 of pre-tax income at 33%.

Scenario 2: the C corp lends the premium from earnings taxed at 28%. The owner pays about 4% interest and nothing else; the corporation is made whole at death. The family keeps the policy and the rest of the benefit.

Death benefit and cash value figures are placeholders until an insurer's illustration is obtained. Disability coverage, not modeled here, is the other gap for a household dependent on one earner.

Recommendation and next steps

Start with Scenario 1 now, build toward Scenario 2

- **Immediately (this quarter):** put the owner and spouse on payroll at $140K and $12K; enroll the family health plan through B LLC; bind a $1.5M term policy; sign a 4% note on the $125,100 loan and make the first payment; stop all undocumented withdrawals.
- **By year end:** open SEP-IRAs and fund $38,000 for 2026 (can be paid until the extended due date); fund backdoor Roth IRAs; send every loan repayment to the Fundbox and Headway balances.
- **Then decide on the C corp:** if the owner wants to retain earnings for acquisitions and fund the permanent policy with corporate dollars, form the sibling C corp for 2027 with a services agreement, and move payroll, SEP, health and the loan payoff into it as in Scenario 2.

What this achieves

Loan exposure ($28K to $35K)	documented note, repaid, cash goes to 21% debt
No health insurance	family covered, fully deductible
No life protection	$1.5M in force, tax-free to the family
No retirement savings	$48K to $53K a year, tax-deferred and Roth
Reasonable compensation	resolved by real W-2 wages
Taxes	$4,061 to $11,636 more than doing nothing; the price of fixing all of the above

Open items for the next round: the California pass-through entity election (worth roughly $9K to $12K of federal tax), a solo 401(k) in place of the SEP, and expense discipline on the $90K of travel, meals and vehicles.

Assumptions and sources

Projection assumptions

- Revenue $600,000; cost of goods, subcontractors, permits, commissions, supplies, equipment rental and payroll processing grow with sales; all other 2025 expenses held flat. Profit pool before owner pay $350,201.
- Married filing jointly for 2026; spouse has no other income and is paid $12,000 for documented part-time work.
- Other household income held at 2025: V C LLC wages $36,000 and K-1 $76,351, the V, LLC items, interest, dividends, capital loss. Rental loss suspended above $150K of income.
- Health insurance $18,000; permanent life policy $24,000 a year, about $1.5M death benefit (illustration required); SEP at 25% of wages; backdoor Roth $7,500 each.
- Old loan: 4% applicable federal rate. Scenario 1 repays $25,000 a year from salary; Scenario 2 repays from C corp loans to the owner.
- C corp: $300,000 fee, owner $120,000, spouse $12,000, overhead $6,000, 21% federal and 8.84% California tax, no dividends.
- 2026 federal MFJ brackets and $32,200 standard deduction; SALT cap $40,400; QBI threshold $403,500; California 2025 MFJ brackets; CA S-corp 1.5%, $800 minimum. Energy credit $10,543 and general business credit $22,385 applied in 2026.

Sources and caveats

- 2025 Form 1120-S (pages 1 to 5, Schedules K, L, M-1, M-2 and detail), Schedule K-1, Forms 1125-E and 4562, Other Deductions Worksheet, Two-Year Comparison, Form 100S.
- 2025 Form 1040 with Schedules 1, 2, 3, A, D, E, Form 8995, Tax Summary Report, carryover worksheets, Form 540.
- The projection engine reproduces the 2025 federal tax within $1 under 2025 rules.
- Interest savings at B LLC from paying down its debt are not included in the year-1 figures; they raise the K-1 from year 2.
- Spendable is a cash view: the $401,896 pool less taxes, savings, premiums, loan payments and amounts retained; it ignores non-cash items and personal debt service.
- Supporting pages: 2026-Planning-Baseline.html, loan-scenarios.html, scenario-1-w2-sep.html, scenario-2-c-corp.html.
- This is planning analysis, not tax, legal or insurance advice. The preparer, an attorney and a licensed insurance professional should review before anything is signed.